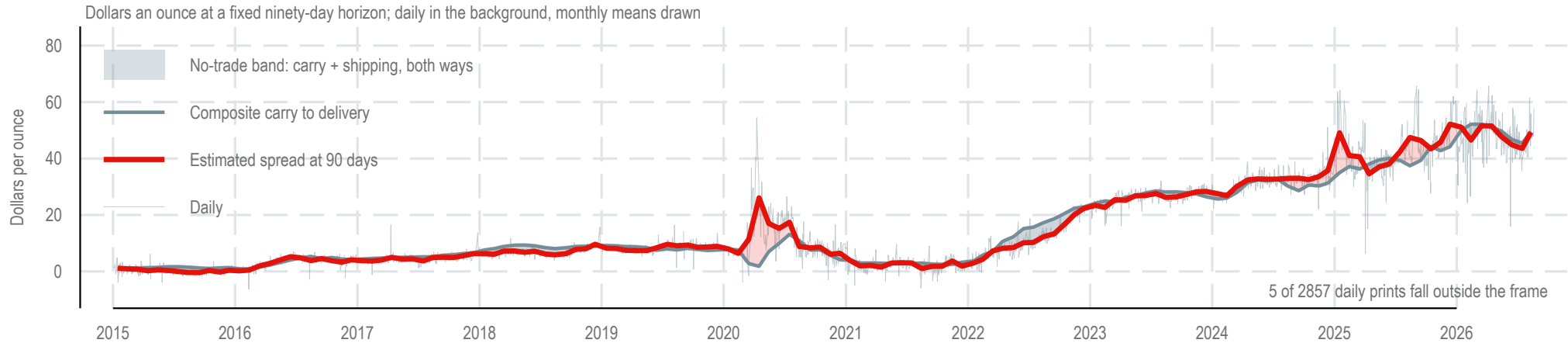


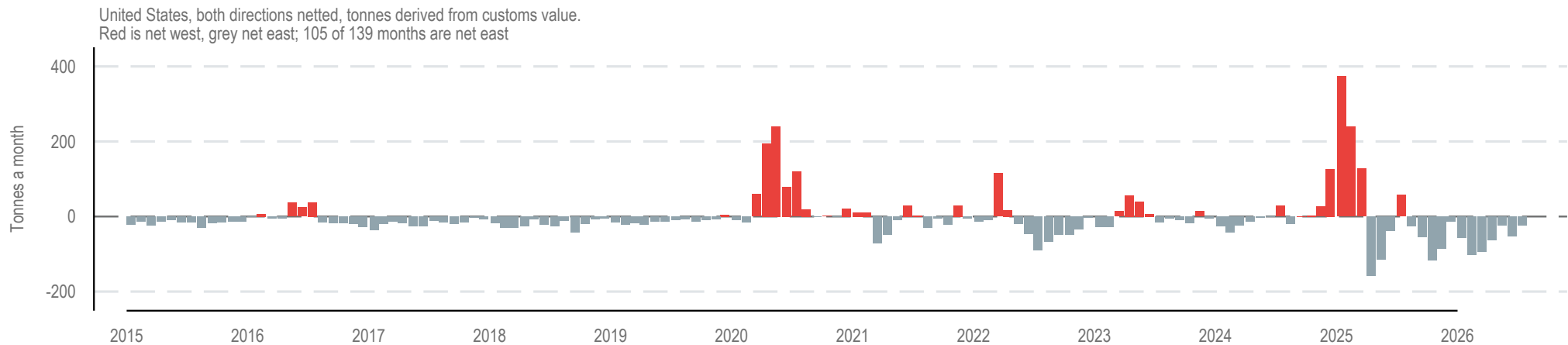
Gold moves only when the spread clears the cost

The estimated COMEX-London spread against carry plus shipping, and the net metal that crossed. Above the band the westward trade pays; below it the eastward one does

The spread, and what it has to clear



Net metal shipped



The spread is a daily open-interest-weighted projection of the COMEX curve onto log price against days to first notice, re-timed to the London auction so the three-and-a-half-hour gap between the two fixings is removed from the intercept. The shipping term in the hurdle is \$0.75 an ounce in both directions: \$0.35 of COMEX depository delivery-out charge, which is a published tariff, plus \$0.20 of air freight and \$0.20 of recasting, which are reported institutional rates rather than quotes we obtained. Panel B is US customs, both headings, with tonnage derived from customs value